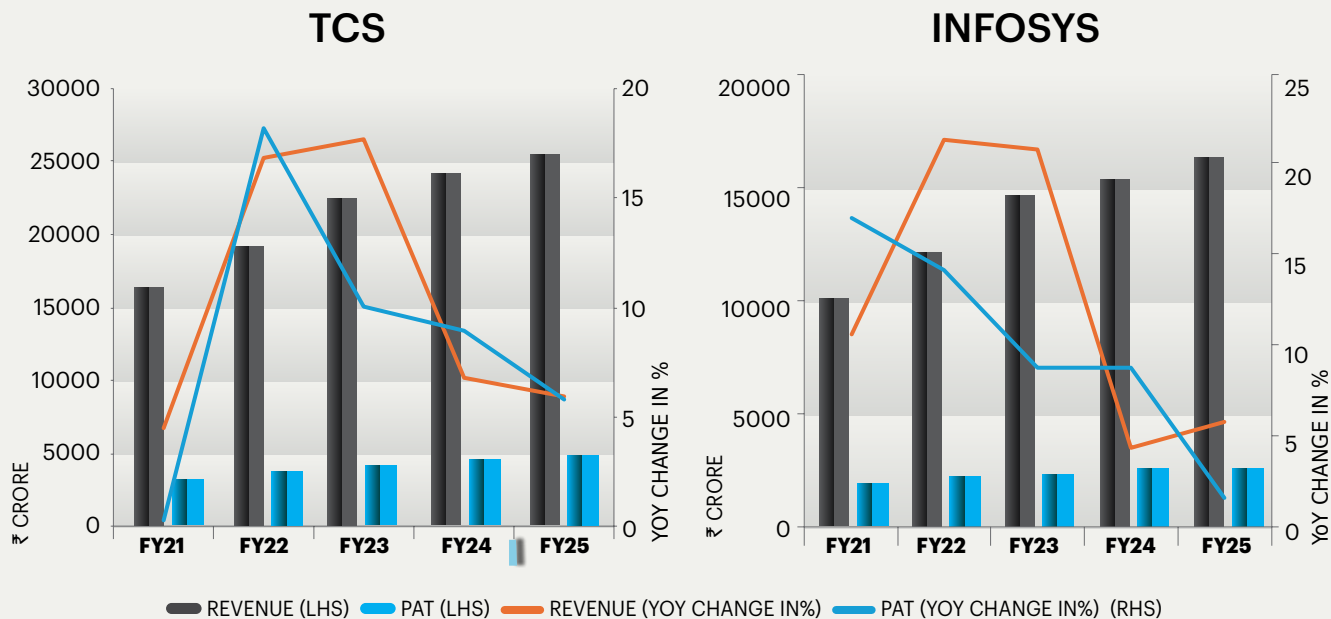


SECTOR OVERVIEW



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balisation and offer GCC services themselves. “While in the short term, these GCC initiatives provide some incremental mitigating benefits, in the longer term, they will only accelerate commoditisation and undermine the ability of firms to maintain meaningful differentiation.”

In today’s dynamic world, a fresh look at the existing approach is not just desirable but mandatory. “Whoever thought Google, with the greatest business model, would be disrupted,” asks Bindra. He says Microsoft is now an AI company, as is any large car manufacturer. “Satya Nadella saw the AI story and moved Microsoft in that direction.” An important part of that journey was an investment of over \$13 billion in OpenAI.

Apart from AI-related challenges, the industry is also facing a hike in H-1B visa fees. Experts believe it is, at best, one more small hurdle for an industry that is dealing with more complicated structural issues. According to Peter Bendor-Samuel, Founder & Executive Chairman, Everest Group, a US-headquartered research firm, the \$1,00,000 visa fee will have a modest impact on the cost structure and that too only after at least six months. “There is plenty of US talent available for them to hire. In many cases, it will be costlier and require more training and recruiting costs,” he says. The key is the timing, which he terms “inconvenient,” as pricing is collapsing

on the back of AI’s impact, making additional costs unwelcome. The industry has long pursued a strategy of hiring local employees and serving US clients via centres in Mexico and Canada. Notably, Mexico offers the highest margins for several Indian IT firms. The decision will hit the second-tier players for whom the proportion of H1B



K KRITHIVASAN
CEO & MD, TCS

“The approach was to stay ahead by investing in artificial intelligence research and innovation centres in key geographies”